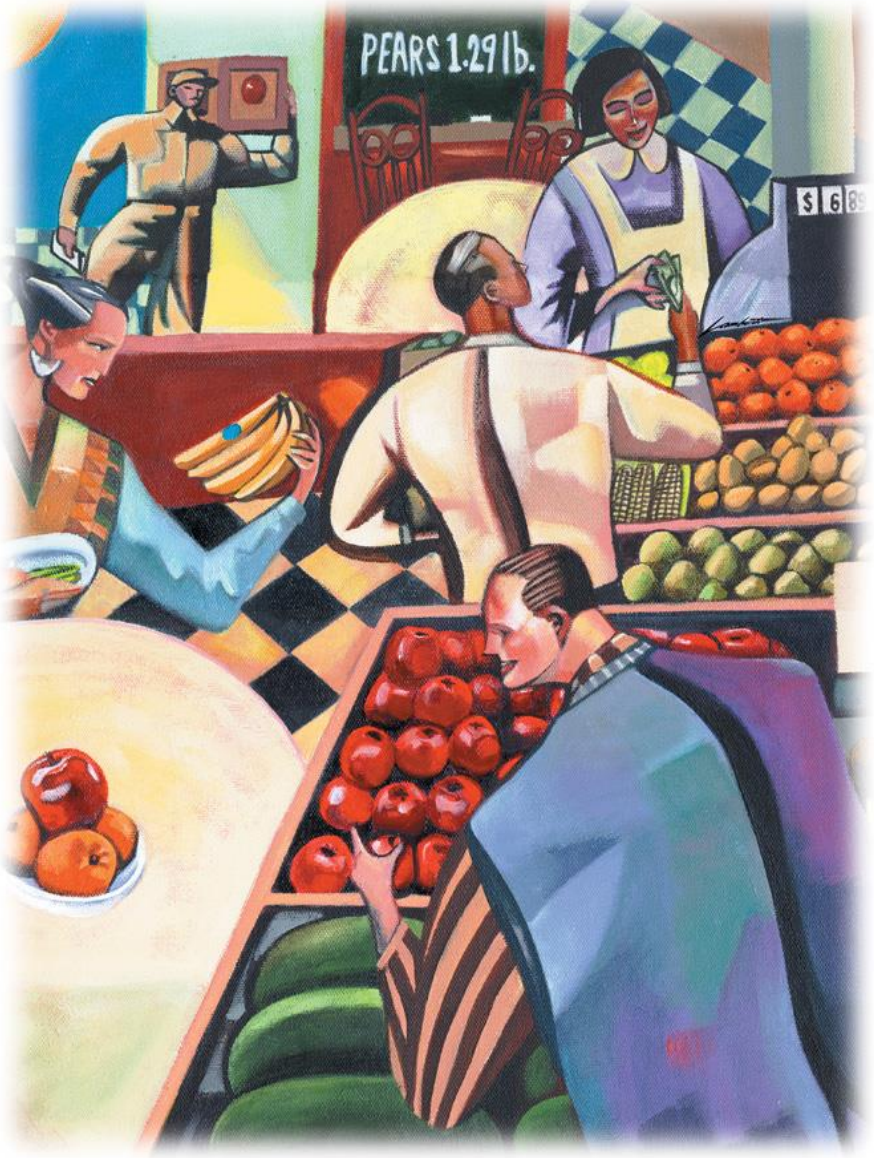


Chapter 3

Supply and Demand I:

How Markets Work

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Figure 4-7: Shifts in the Supply Curve

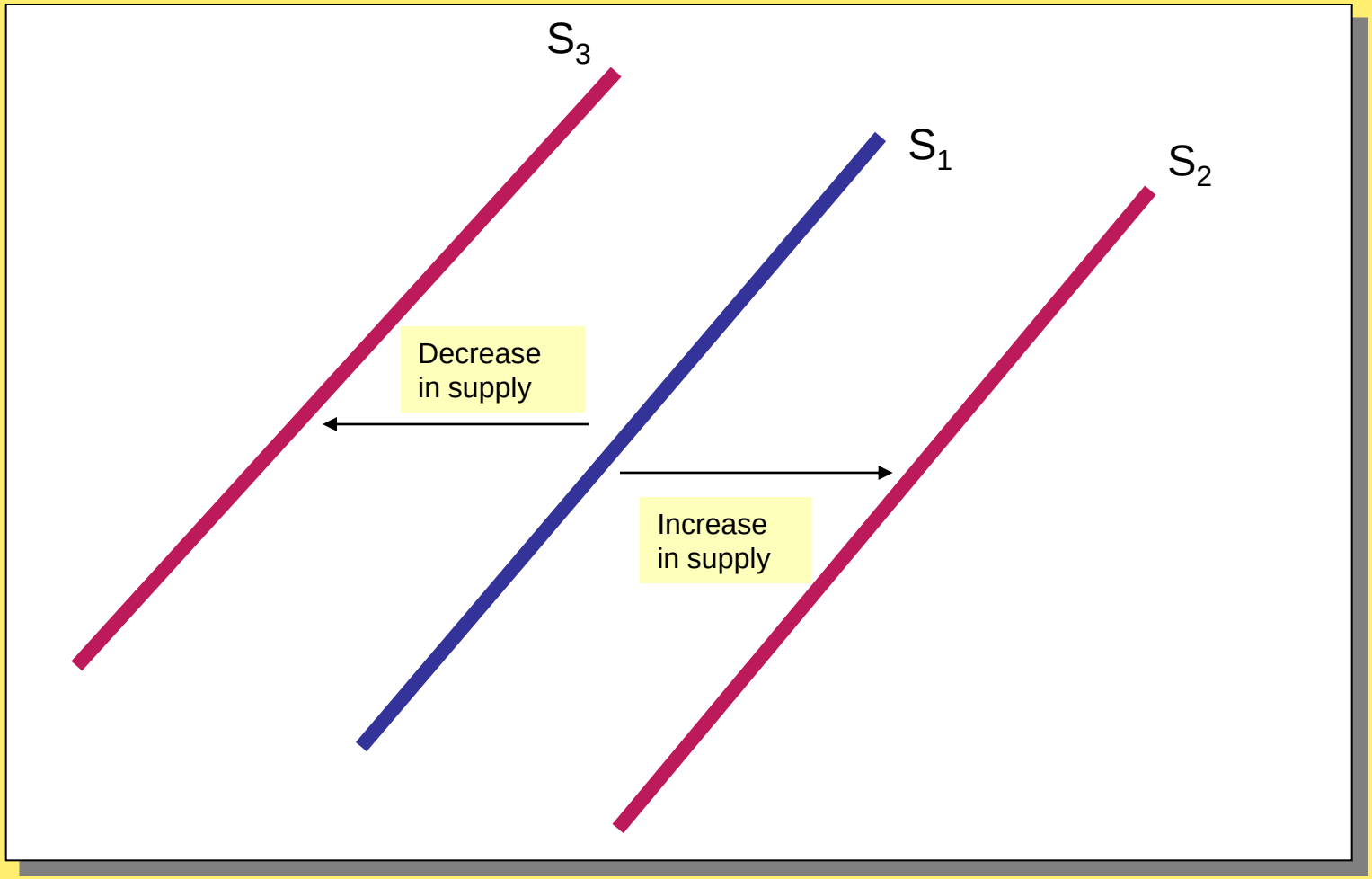


Table 4-6: The Determinants of Quantity Supplied

Variable	A Change in This Variable . . .
Price	Represents a movement along the supply curve
Input prices	Shifts the supply curve
Technology	Shifts the supply curve
Expectations	Shifts the supply curve
Number of sellers	Shifts the supply curve

SUPPLY AND DEMAND TOGETHER

- ***Equilibrium*** **refers to a situation in which the price has reached the level where quantity supplied equals quantity demanded.**

Equilibrium

- ***Equilibrium Price***
  - **The price that balances quantity supplied and quantity demanded.**
  - **On a graph, it is the price at which the supply and demand curves intersect.**
- ***Equilibrium Quantity***
  - **The quantity supplied and the quantity demanded at the equilibrium price.**
  - **On a graph it is the quantity at which the supply and demand curves intersect.**

Equilibrium

Demand Schedule

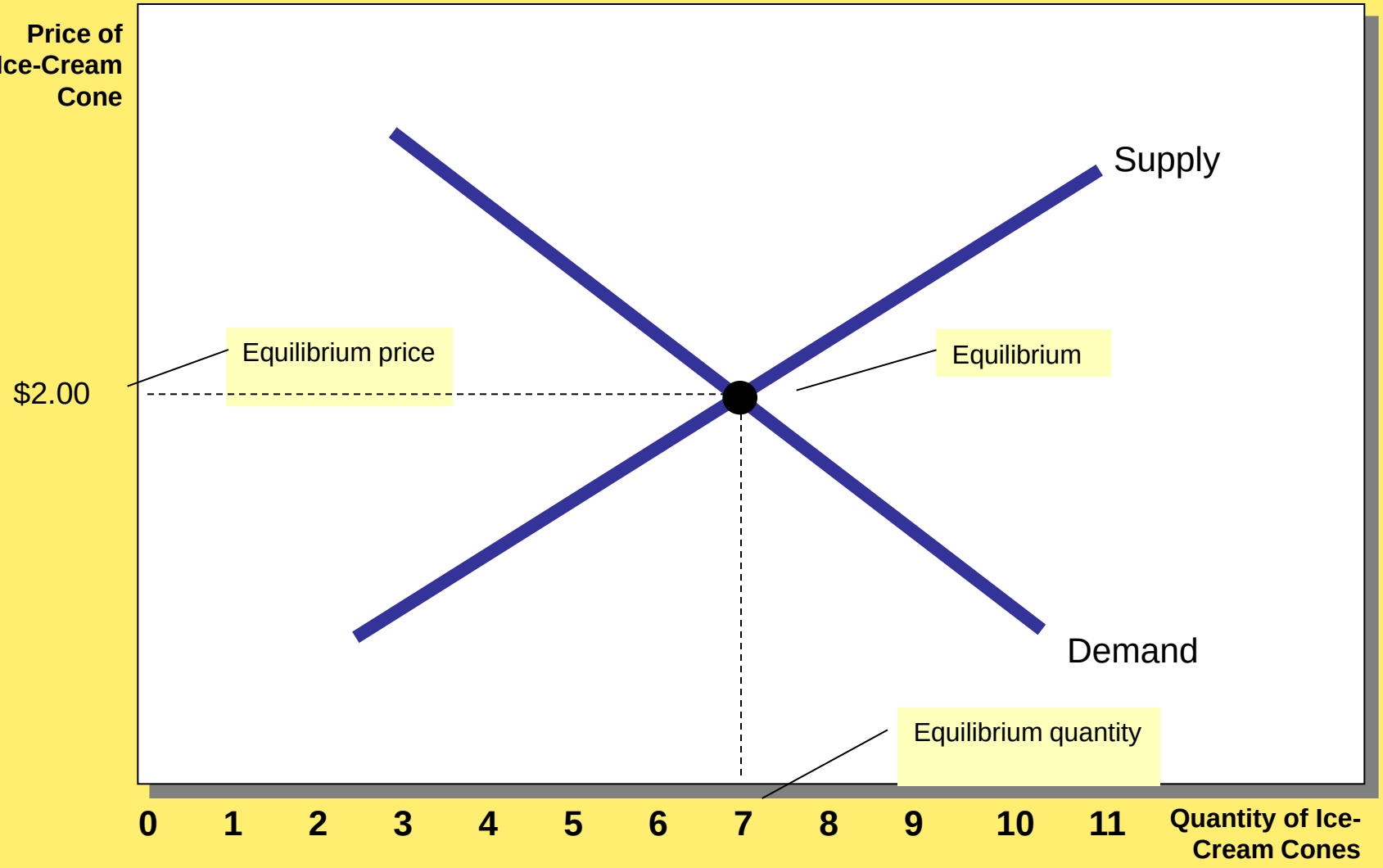
Price of Ice-Cream Cone	Market
$0.00	19
0.50	16
1.00	13
1.50	10
2.00	7
2.50	4
3.00	1

Supply Schedule

Price of Ice-Cream Cone	Market
$0.00	0
0.50	0
1.00	1
1.50	4
2.00	7
2.50	10
3.00	13

At $2.00, the quantity demanded is equal to the quantity supplied!

Figure 4-8: The Equilibrium of Supply and Demand



Equilibrium

- ***Surplus***
  - **When price > equilibrium price, then quantity supplied > quantity demanded.**
    - **There is excess supply or a surplus.**
    - **Suppliers will lower the price to increase sales, thereby moving toward equilibrium.**
- ***Shortage***
  - **When price < equilibrium price, then quantity demanded > the quantity supplied.**
    - **There is excess demand or a shortage.**
    - **Suppliers will raise the price due to too many buyers chasing too few goods, thereby moving toward equilibrium.**

Figure 4-9 a): Excess Supply

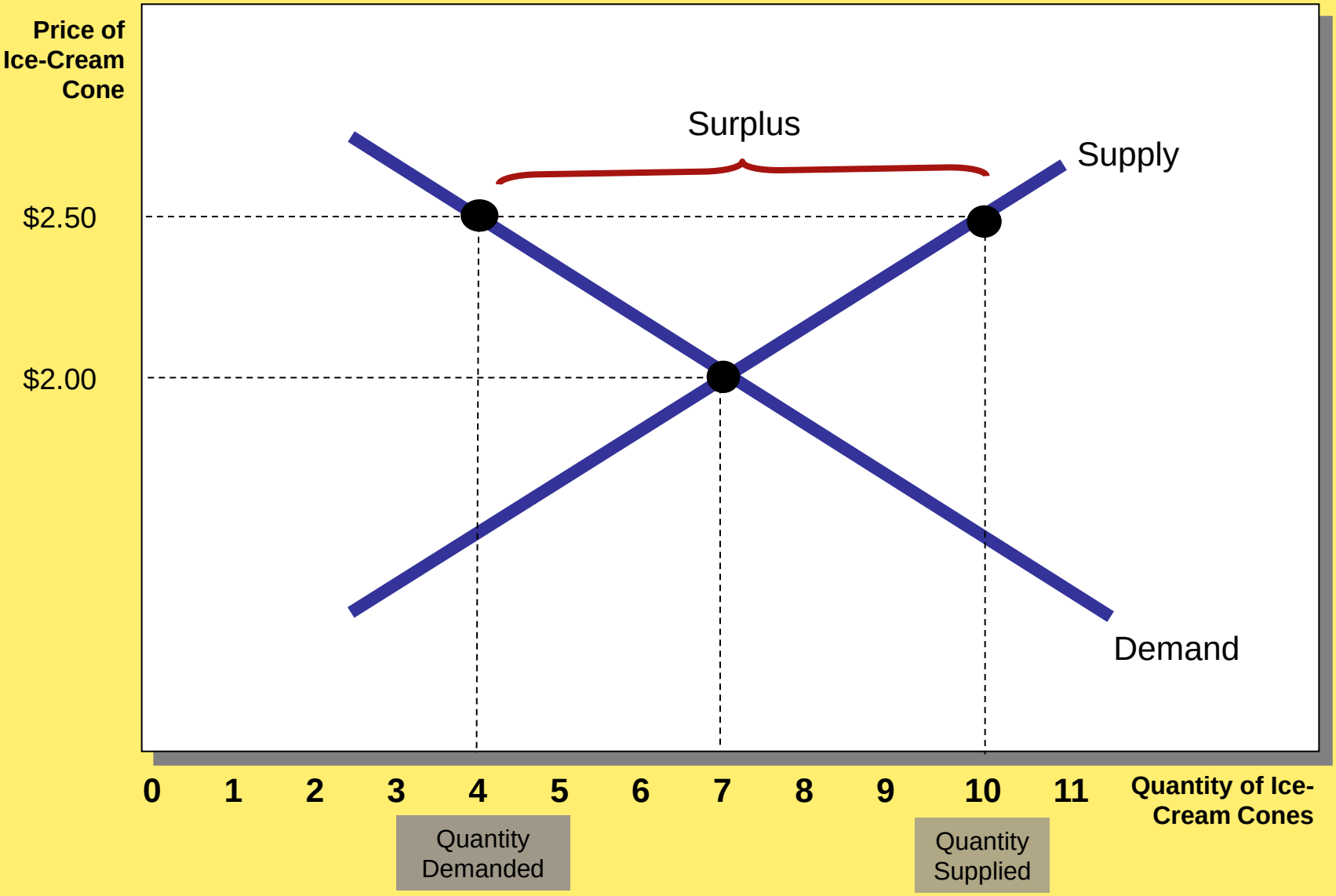
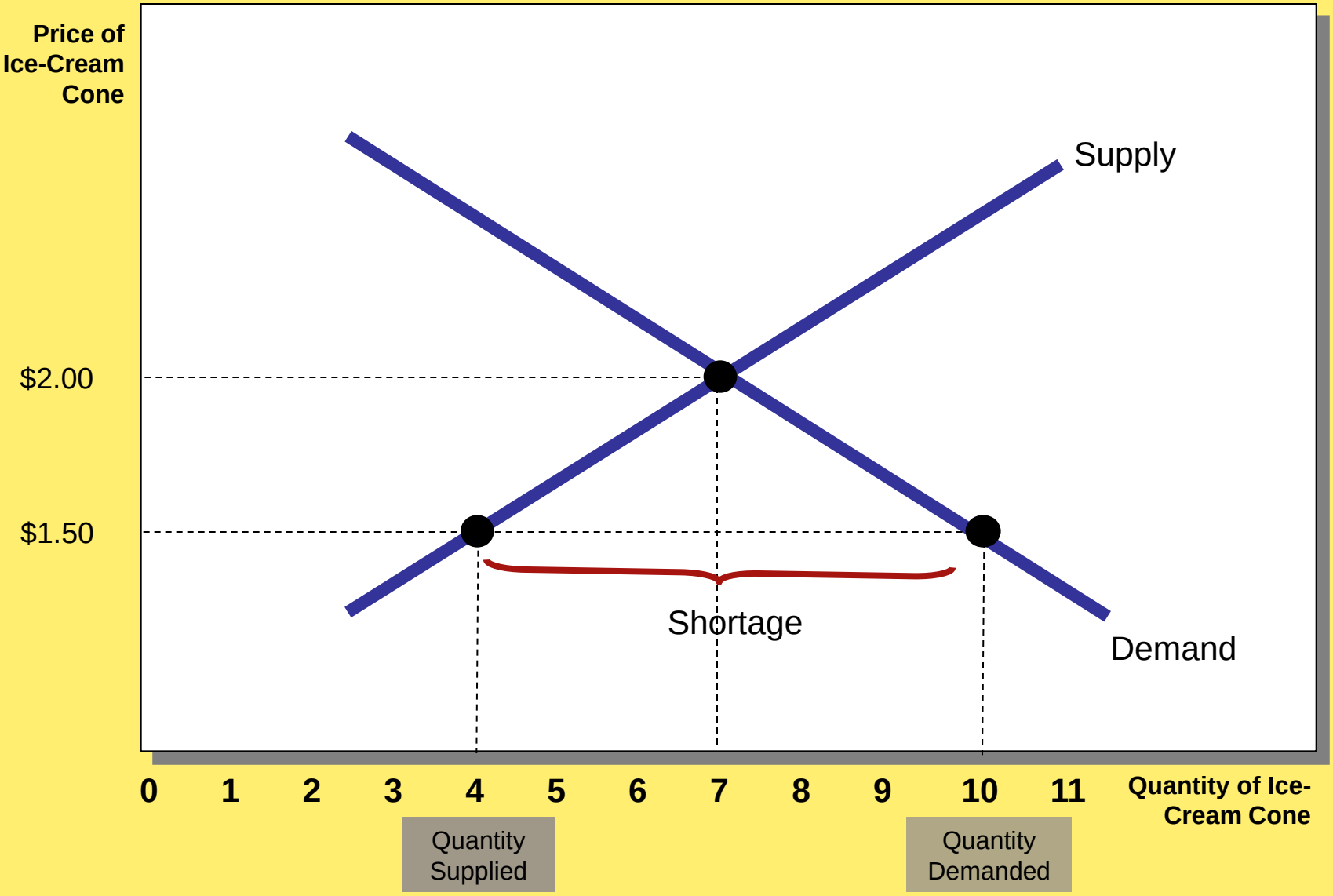


Figure 4-9 b): Excess Demand



Three Steps To Analyzing Changes in Equilibrium

- Decide whether the event shifts the supply or demand curve (or both).
- Decide whether the curve(s) shift(s) to the left or to the right.
- Use the supply-and-demand diagram to see how the shift affects equilibrium price and quantity.
- Example: **A Heat Wave**

Figure 4-10: How an Increase Demand Affects the Equilibrium

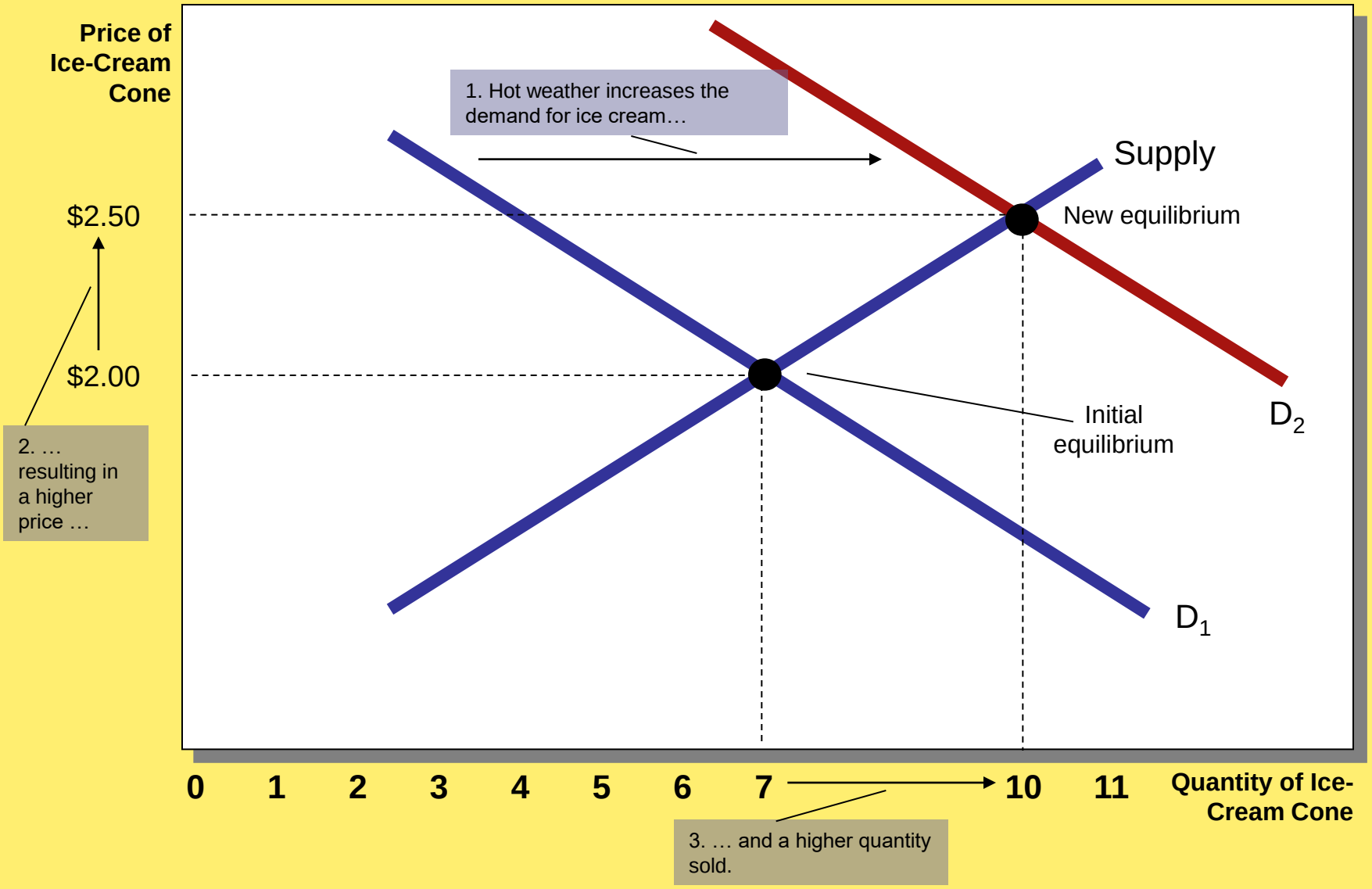


Figure 4-11: How a Decrease Supply Affects the Equilibrium

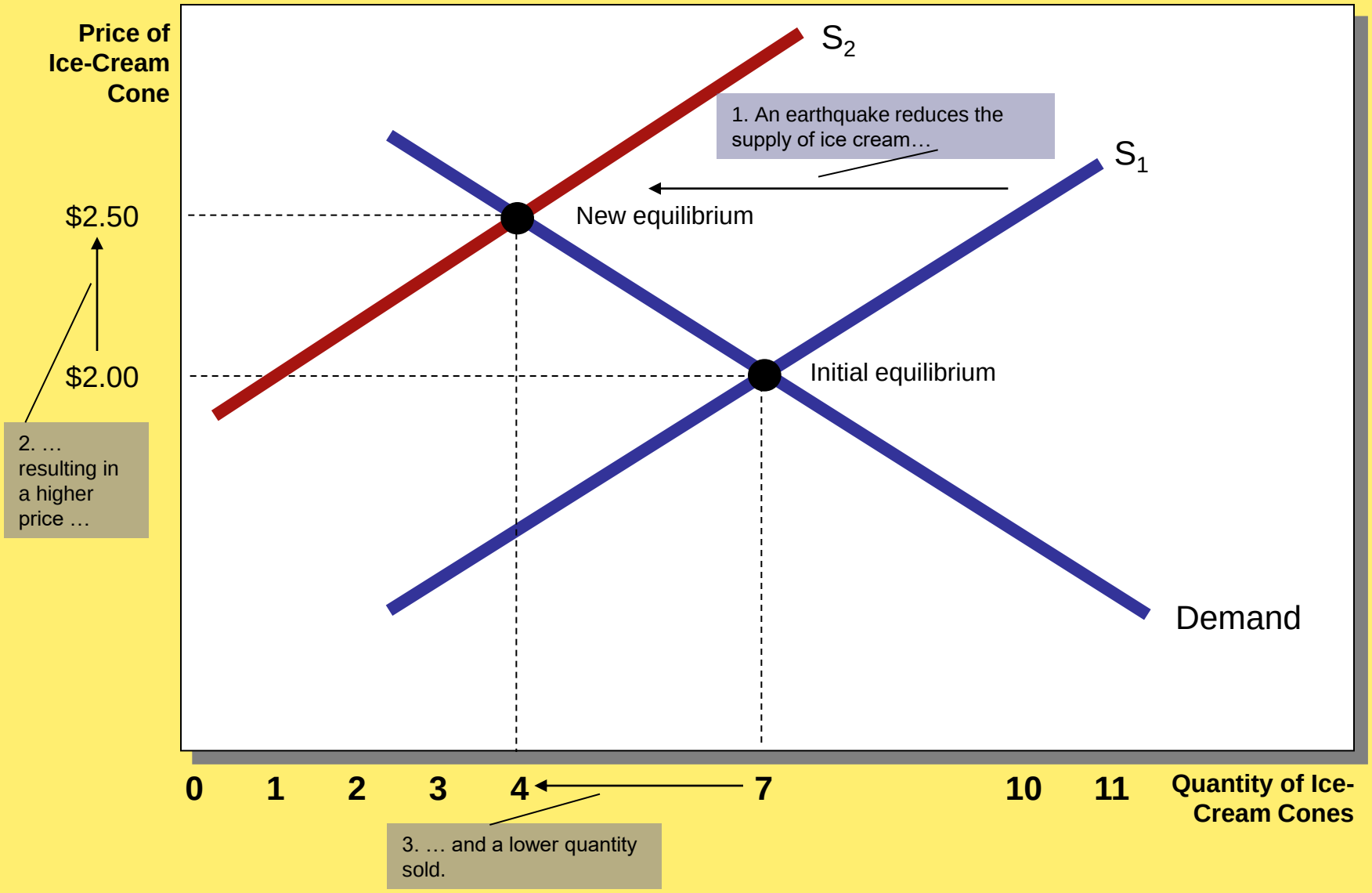


Figure 4-12 a): A Shift in Both Supply and Demand

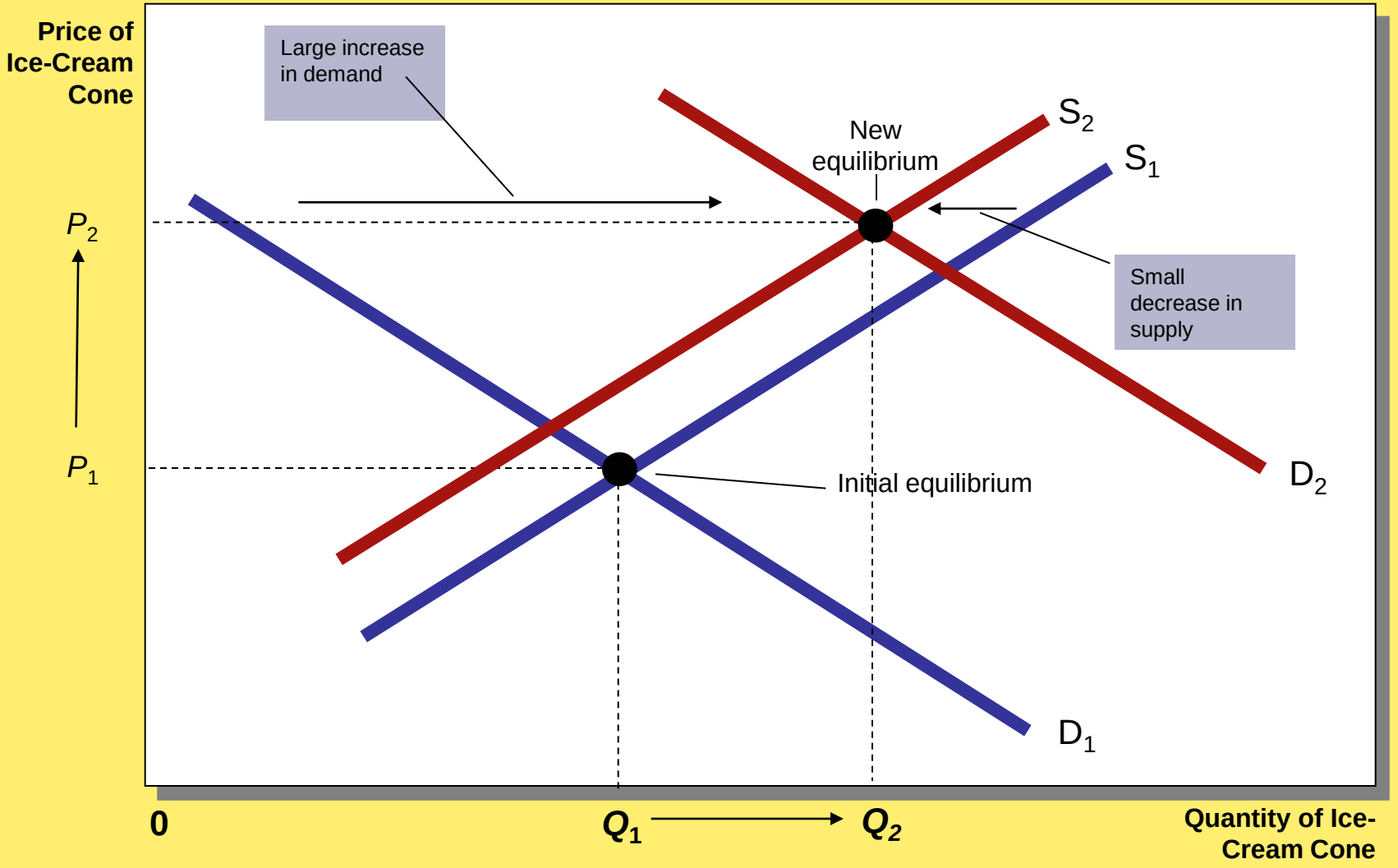


Figure 4-12 b): A Shift in Both Supply and Demand

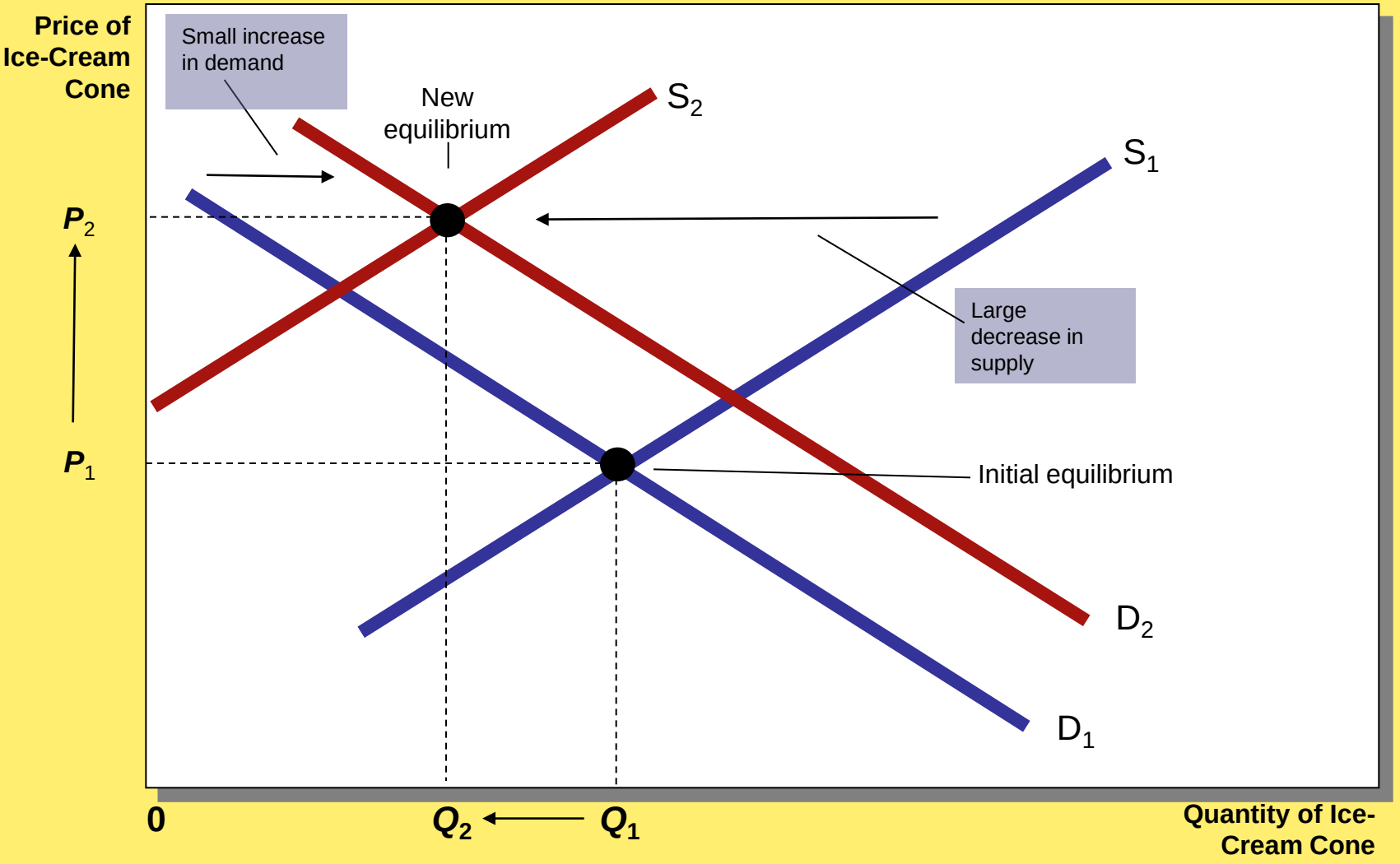


Table 4-8: What Happens to Price and Quantity when Supply or Demand Shifts

	No Change in Supply	An Increase in Supply	A Decrease in Supply
No Change in Demand	*P* same *Q* same	*P* down *Q* up	*P* up *Q* down
An Increase in Demand	*P* up *Q* up	*P* ambiguous *Q* up	*P* up *Q* ambiguous
A Decrease in Demand	*P* down *Q* down	*P* down *Q* ambiguous	*P* ambiguous *Q* down

Concluding Remarks…

- Market economies harness the forces of supply and demand. . .
- Supply and Demand together determine the prices of the economy's different goods and services. . .
- Prices in turn are the signals that guide the allocation of resources.

Summary

- Economists use the model of supply and demand to analyze competitive markets.
- In a competitive market, there are many buyers and sellers, each of whom has little or no influence on the market price.

Summary

- The demand curve shows how the quantity of a good depends upon the price.
  - According to the law of demand, as the price of a good falls, the quantity demanded rises. Therefore, the demand curve slopes downward.
  - In addition to price, other determinants of how much consumers want to buy include income, the prices of complements and substitutes, tastes, expectations, and the number of buyers.
  - If one of these factors changes, the demand curve shifts.

Summary

- The supply curve shows how the quantity of a good supplied depends upon the price.
  - According to the law of supply, as the price of a good rises, the quantity supplied rises. Therefore, the supply curve slopes upward.
  - In addition to price, other determinants of how much producers want to sell include input prices, technology, expectations, and the number of sellers.
  - If one of these factors changes, the supply curve shifts.

Summary

- Market equilibrium is determined by the intersection of the supply and demand curves.
- At the equilibrium price, the quantity demanded equals the quantity supplied.
- The behavior of buyers and sellers naturally drives markets toward their equilibrium.

The End